

Bell & Harris

Situation

Bell & Harris Inc. manufactures and sells electrical repair kits in the Midwest. B&H claims that electricians will never have to buy another tool if they purchase their kits, nor will they ever have to replace any tools from their kit.

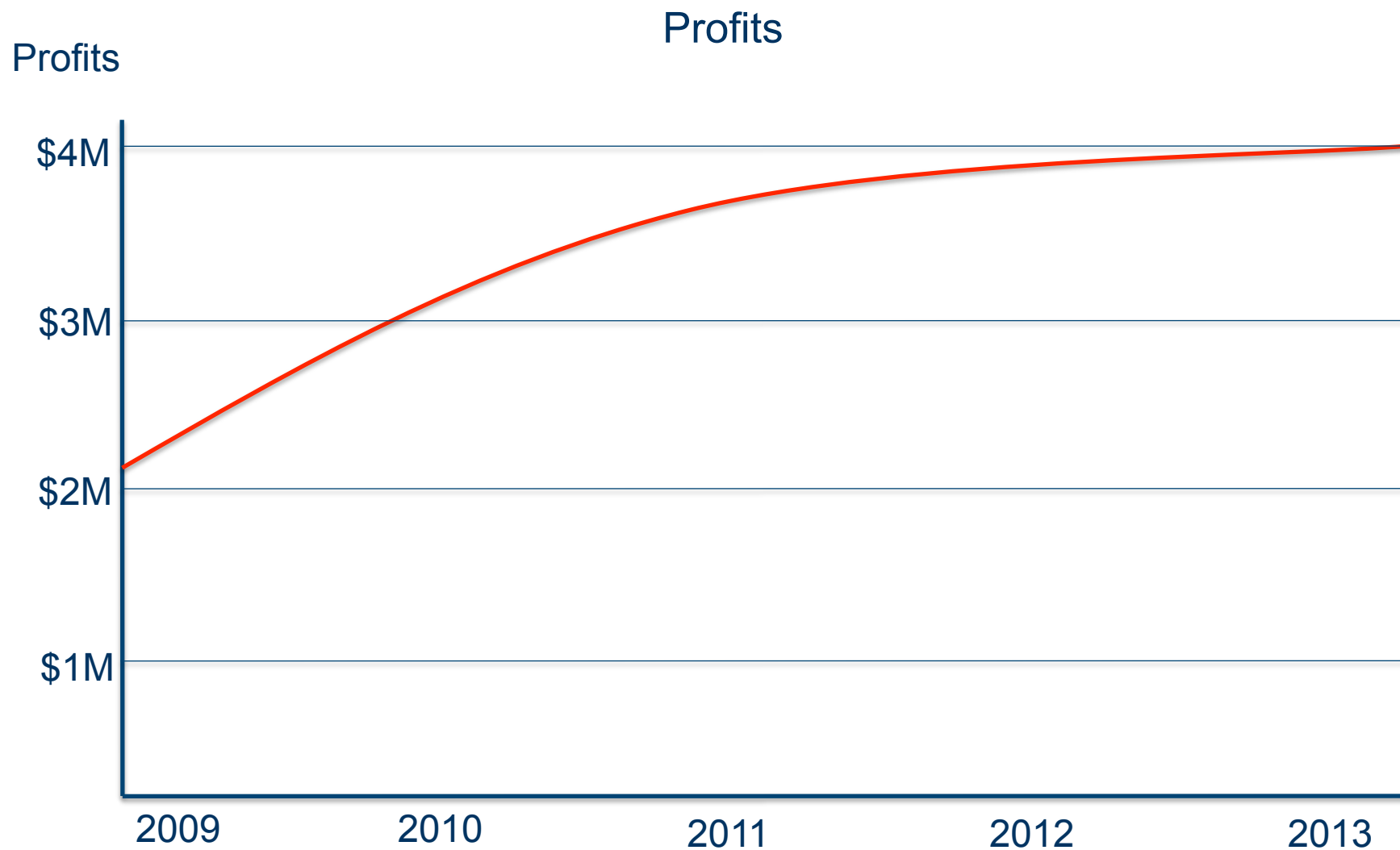
Complication

After years of booming growth, B&H profits have slowed.

Question

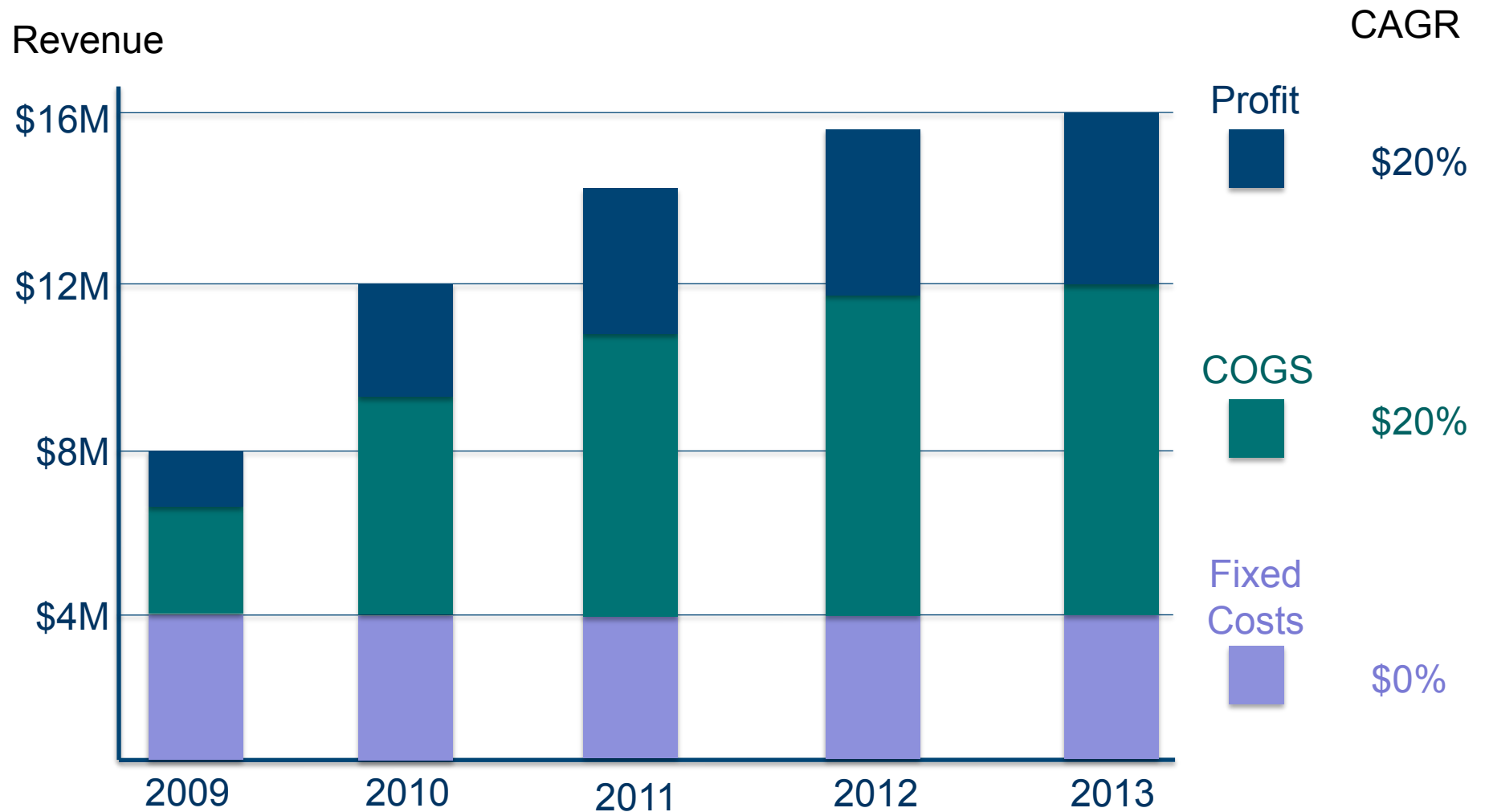
The CEO has hired you to determine what is causing growth to slow, and to propose a recommendation to restore profitability.

Bell & Harris Profits



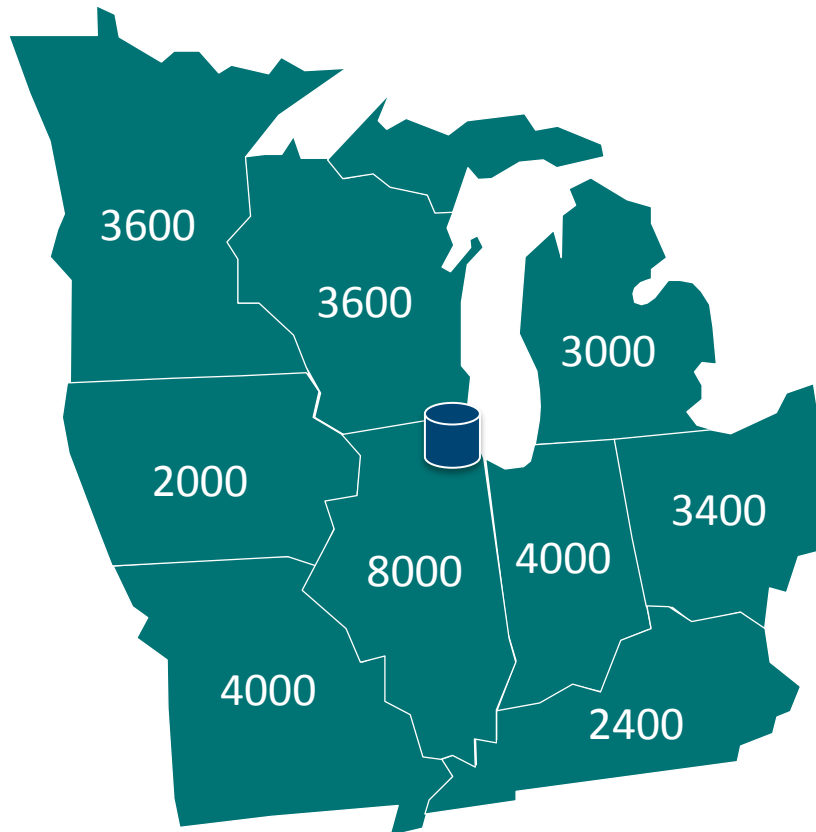
Bell & Harris Revenue and Cost Data

Revenue Breakdown



Bell & Harris Sales

B&H Sales by State



Market Share

40%



Production Facility

Production Capacity

40,000 units per year

Price Per Unit

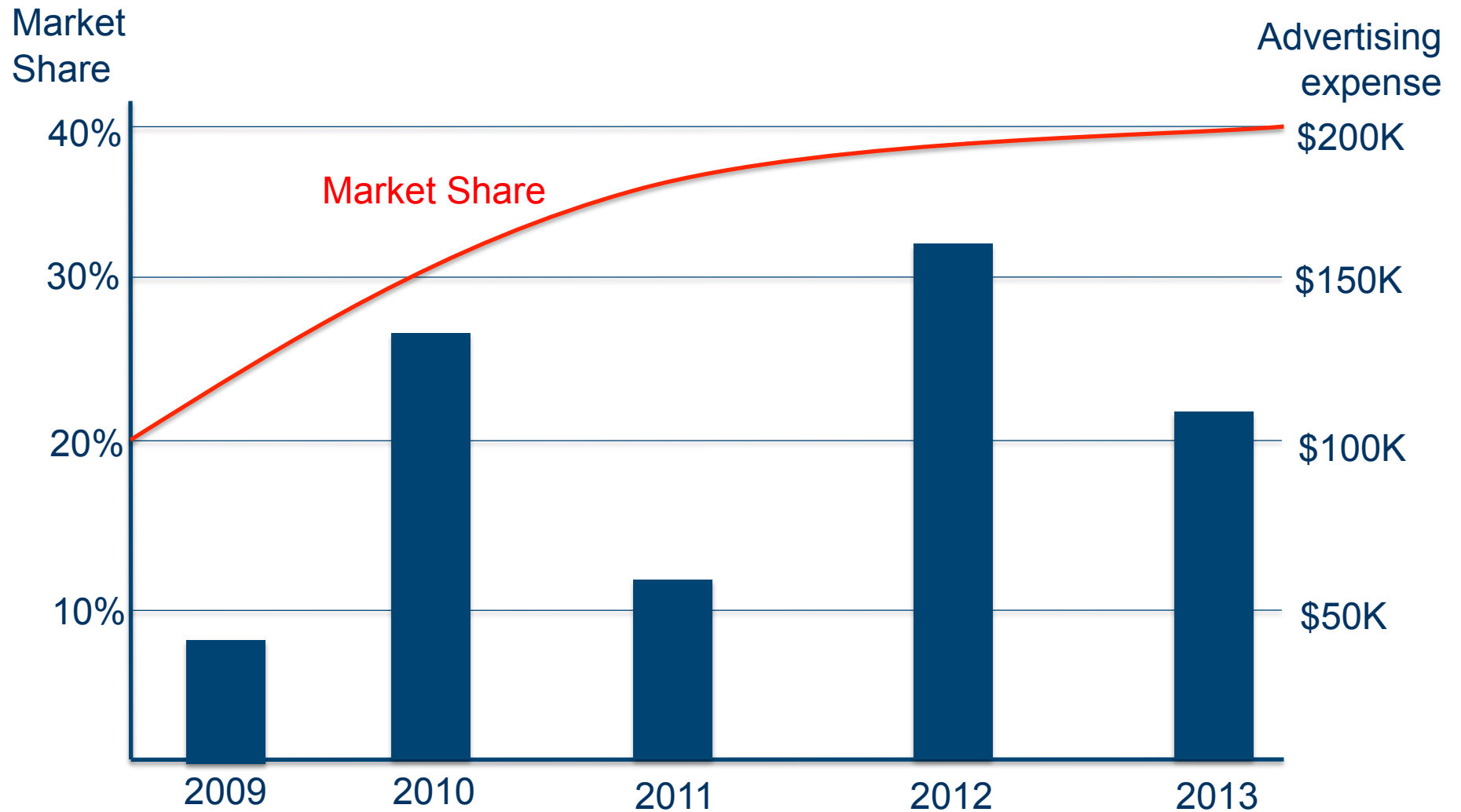
\$450

Cost Per unit

\$250

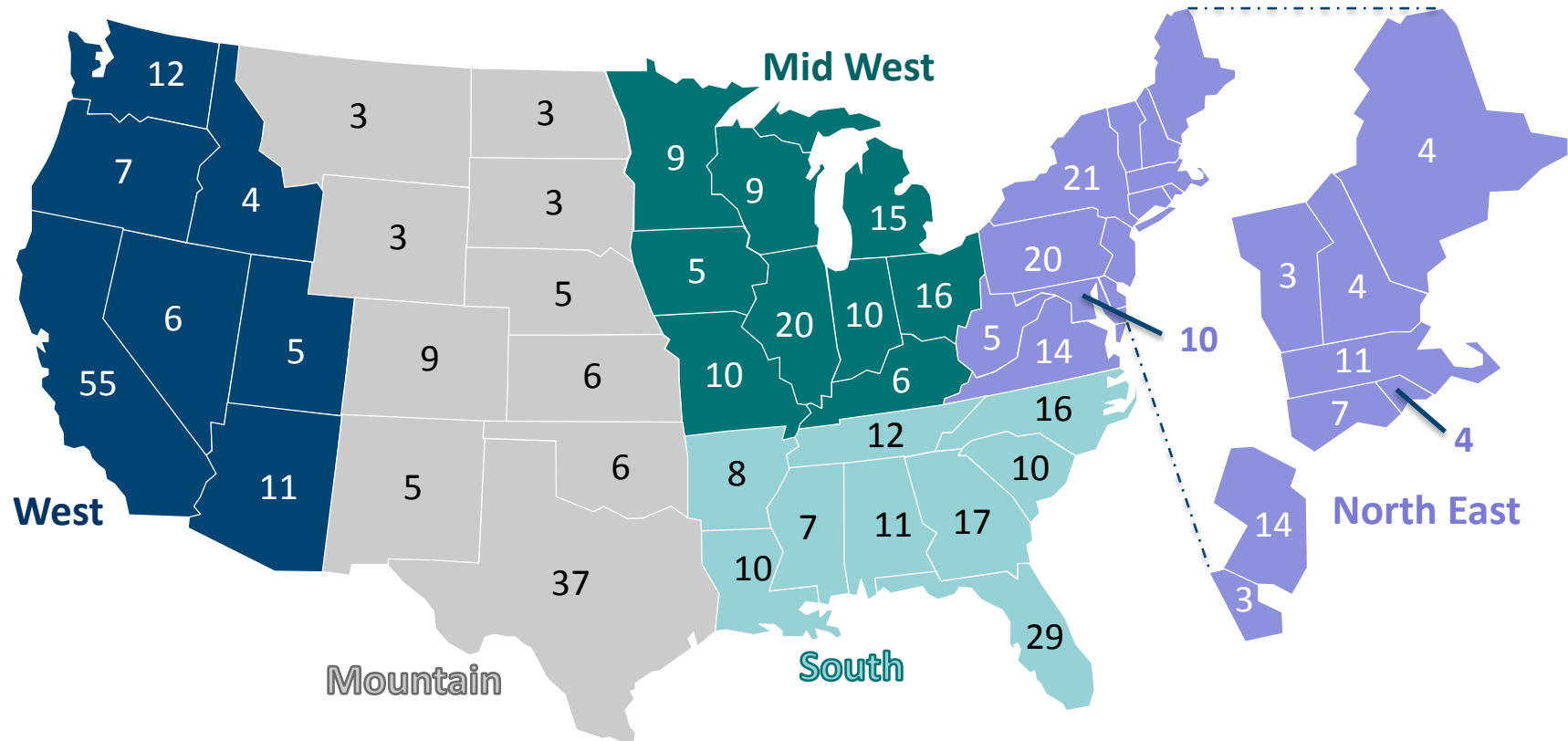
What is the total market for electrical repair kits in the Mid West?

Bell & Harris Market Share and Advertising Expenses



United States Electrical Repair Kit Market

Demand by State (in thousands of kits)



B&H's Expected Market Share

West	Mountain	South	North East
35%	30%	25%	20%

Production Plant Cost Figures

Initial Cost to Build a New Plant			
West	Mountain	South	North East
\$8M	\$6M	\$7M	\$8M

Annual Plant Costs			
West	Mountain	South	North East
\$5M	\$3M	\$3.5	\$5M

Bell & Harris

Interviewer guide

Math Solutions



Document



Worksheet